



Knowing Your Market

When planning a business, you must decide whether to offer products and services with broad appeal or to target a niche. You also need to choose your market – to sell directly to consumers, to other businesses, or both.

Mass or niche markets

Deciding the best market for your product or service – your target market – is critical to the success of any business, and should form part of your business strategy (see pp.36–37). In broad terms, you have two options – mass market or niche – though you may be able to combine the two. Mass-market offerings require a broad appeal to attract the widest possible customer base, whereas niche products should appeal directly and specifically to a small but dedicated customer base.

Selling to the mass market can produce a high sales volume but a relatively low profit. While there is greater security in the wider market, it is harder and more expensive to reach customers in that large, disparate group.

Once you achieve a high sales volume, however, your product or service becomes cheaper to produce, due to economies of scale.

A niche market may have a low sales volume but can generate a high profit, if goods or services are tailored to a particular group willing to pay a premium price. There is more risk in a niche market, but it is easier and cheaper to target a smaller, defined group of customers.

Some businesses can successfully combine both approaches by initially launching a specialist product or service to a niche market, before eventually expanding their offering to cater for the mass market.

Understanding business models

There are three main ways in which businesses trade according to the markets they serve. Business-to-consumer (B2C) sales are conducted directly between a business and consumers. Examples include traditional retail shops and service providers, such as hairdressers and plumbers. Business-to-business (B2B) is where one business sells directly to another. B2B examples include manufacturers selling to wholesalers, and wholesalers supplying goods and equipment to service providers.

However, the line between B2C and B2B can be blurred, as some businesses sell to other businesses, as well as to consumers. Examples of this include DIY suppliers and food wholesalers. Some service providers may also cater to both markets as an offshoot of their main business.

The final way in which businesses commonly trade is business-to-business-to-consumer (B2B2C), where companies sell consumer goods or services to businesses, who then distribute them. Consumers recognize the initial business as the



BUSINESS TO CONSUMER

In this model, the business sells products and services directly to consumers, who are the end users.

- **Examples include** retail shops, online outlets, market stalls, and service providers, such as plumbers, and child minders.
- **B2C sales** are governed by customer emotions. May be impulsive, often involves brand recognition and loyalty. Amount per sale generally lower than B2B transactions.

product or service provider, even though they do not buy directly from them. The food industry is an example: products are marketed to consumers, but are sold by food manufacturers (B) to wholesalers and retailers (B), who sell to consumers (C). Similarly, in financial services, one company may create a product, then partner with major banks or others, to sell their product to consumers.